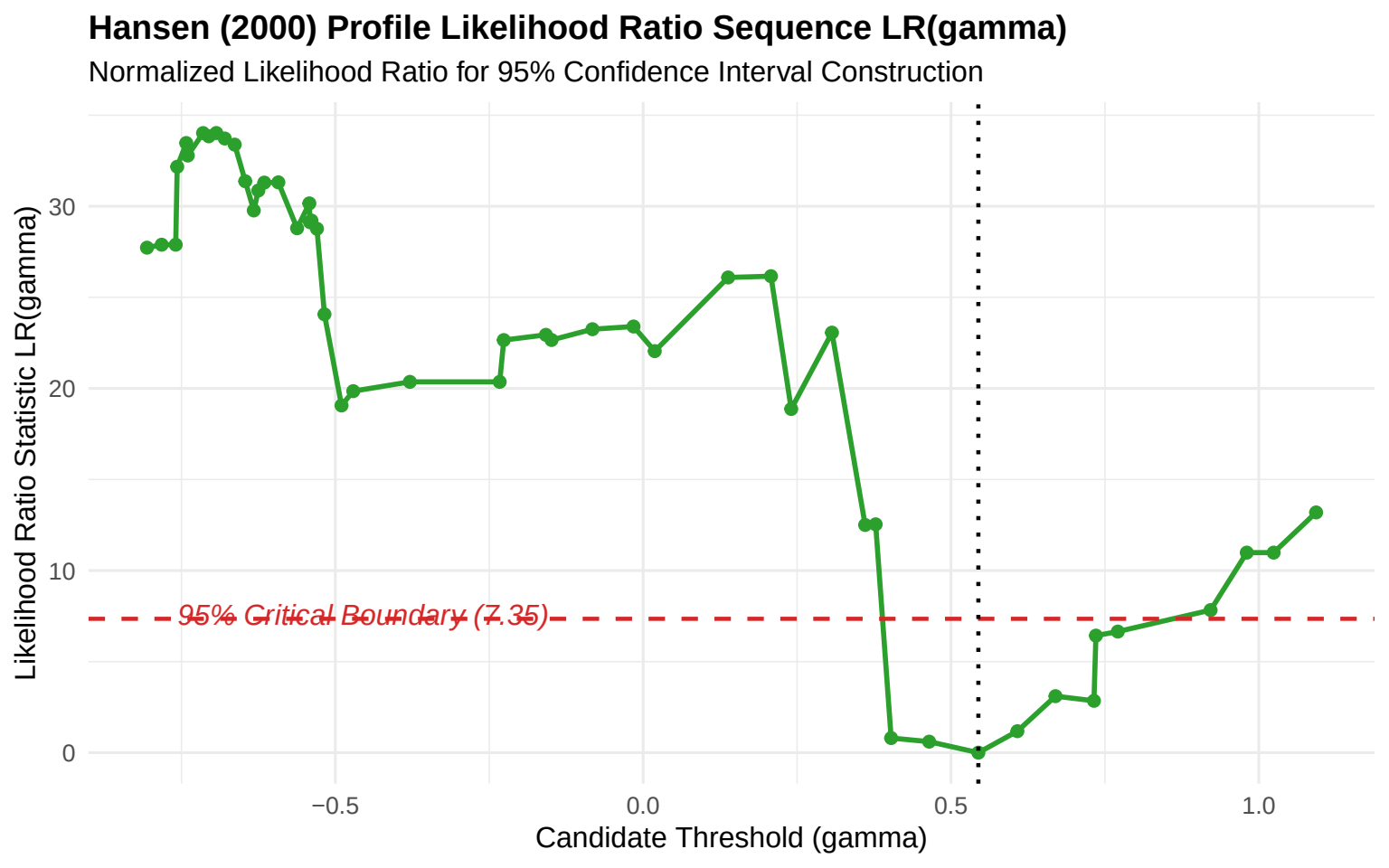
Hansen (2000) Profile Likelihood Ratio Sequence LR(gamma)
Normalized Likelihood Ratio for 95% Confidence Interval Construction
Likelihood Ratio Statistic LR(gamma)
30
20
10
0
95% Critical Boundary (7.35)
−0.5
0.0
0.5
1.0
Candidate Threshold (gamma)